Econ 279: The Economic Rise and Future of China

Colby College Department of Economics
Fall 2019

Instructor: Dr. Daniel LaFave
Office: Diamond 351
Office Phone: x5243
Email: daniel.lafave@colby.edu
Website: Course Moodle Page
Skype: daniel.lafave

Office Hours: M 3:00-4:00; W 2:00-4:00; Th 10:00-11:00;
whenever my door is open and happily by appointment

Class: Tuesday and Thursday 11:00-12:15 Diamond 344

Course Description

An exploration of the historical path, current position, and future prospects of the Chinese economy. This course examines the dynamics of China's recent economic success, and draws on economic analysis and recent research to understand current policy questions related to China and its role in the global economy. Students will engage with pressing policy issues through readings, debates, written assignments, case studies, and in-class discussions. Specific topics include: Chinese monetary and trade policy, population change and the environment, science and technology policy, migration and the rural-urban divide, and the sustainability of China's growth.

At the end of the course students should have a deep understanding of the historical path China travelled to its position today and the pressing issues it faces on the horizon.

Pre-requisites

I expect that you have completed and are comfortable with the material covered in Principles of Microeconomics EC133. A familiarity with skills covered in statistics and regression analysis will also be useful. If you have difficulty remembering certain concepts from these courses, or feel particularly rusty, please stop by my office. No prior knowledge of Chinese history, language, or culture is required or assumed.

Format

The emphasis of this course is placed on participation and intellectual exchange between students. Course material will draw from a variety of academic sources across history, economics, political science, and sociology, as well as current policy issues as they're covered in leading news outlets. Textbook readings will be combined with academic journal articles, case studies, and documentary films to form a rich understanding of the Chinese economy. Throughout the course we will focus on the application of economic principles and theories related to market structure, institutions, incentives, and development.

You are expected to actively participate on a daily basis. Discussion questions will be solicited before each class, and I expect you to come prepared to discuss the material.

Goals of the Course

- Gain a thorough understanding of the historical origins and path of China's economic transition to a market economy.
- Be able to apply economic analysis to the opportunities and challenges facing present-day China including topics such as international trade and finance, population and the environment, income inequality, science and technology policy, and political reform.
- Draw on current economic research to better understand China's place in the international economy and future as a global leader.
- Improve your ability to connect with the world outside of the classroom and clearly articulate your position on global issues in written prose and in-class discussions.

Expectations

Understanding what I expect of you and what you can expect from me is essential for a successful course - not only for doing well in terms of your grade, but also for having an engaging and dynamic class experience.

What I expect from you:

- I expect you will abide by the Colby Affirmation in all parts of the course - not only on exams. Students found to be in violation will be referred to the appropriate Dean.
- Maintain an active engagement in the course. Come to class prepared, pay attention, and respond when called upon. Be engaged outside of class as well; prepare for exams and complete assignments by their due dates.
- Actively participate in the learning process. Help each other to establish a collaborative learning environment. Ask questions when you don't understand something. Come to office hours if you're confused–use the resources you have to put yourself in a position to succeed.

What you can expect from me:

- I will come to class prepared, foster an engaging and respectful learning environment, and use class time effectively.
- I will present economics so that it is relevant to your lives, not only a set of abstract concepts. I will work with you to build knowledge and develop a new lens through which to view the world.
- Assess your learning fairly and provide constructive feedback on all quizzes and exams.
- Be available and approachable. I will be in my office for office hours and work with those who have time conflicts to find meeting times that work for both of us. I will do my best to respond to all emails within 12 hours, but emails sent at 10am before an exam at 11am may not be answered in time to help.

Grading

The majority of work in the course will be staying on top of the readings on a daily basis. This is no small task – sources are drawn from leading academic journals, and we will cover a substantial amount of material. Developing your intuition is the best way to succeed. To facilitate this goal, your active participation in class discussions is expected and you are encouraged to speak up with questions.

- **Participation:** I expect you to fully participate in all aspects of the class and to have completed the assigned readings for each day. You are also required to submit **2** discussion questions related to the readings **through the Google Form linked on Moodle** by **9:00am on the day of class**. These will be incorporated into class and offer you a chance to alert me of anything you did not fully grasp in the material.

- **Map Quiz:** You will be responsible for labeling a map with the names of provinces, autonomous regions, and municipalities, as well as the geographic background presented in the first week. You will be provided with several maps for your reference, but you may wish to use other sources as well. There are plenty of online map games with which to practice.

- **Reading Quizzes:** We will have occasional short quizzes at the beginning of class that will help make sure we're all staying on track. These will typically consist of one or two questions. Your lowest quiz grade will be dropped. Should you miss a quiz, the missed quiz will count as a 0. These are not busy work, but are meant to provide a sense of questions that will be on the exams and give you the chance to demonstrate you've done the reading.

- **Papers:** There will be two short papers due through Moodle on October 1st and December 6th (the last day of classes). The first paper will draw on the historical background material and the Mao period, and the later will ask you to focus on a current issue facing the Chinese economy. You will be provided both a rubric and style guidelines. Late submissions will be reduced 1 full letter grade for each day they are late.

- **Exams:** Two exams – the first on **October 10th**, and the second on the final exam day.

- Your final grade will be determined according to the following weights:
  Map Quiz: 5%
  Reading Quizzes: 10%
  Papers: 15% each
  Midterm Exam: 20%
  Final Exam: 25%
  Participation: 10%

- *A Note on Re-grade Requests:* You may resubmit any graded material with an additional sheet attached explaining in a few words why you deserve a better grade. These are due one week after the graded work is returned. If you choose to petition for a change to your grade, I will re-grade the **entire** work – not only the part in question. Remember, you are assessed solely on what is written on your submitted material.

Texts and Readings

Required: Barry Naughton. *The Chinese Economy: Adaptation and Growth*, 2018 (*2nd edition*).

Additional articles and book chapters will be assigned throughout the term to complement the textbook. A number of these will include econometric techniques above the level of this course. When this is the case, I will note the sections that are most important and you will be required to read for the main ideas. Those of you who have taken Statistics and/or Econometrics should see this as a great time to brush up on your skills.

Recommended: J. Yifu Lin, *Demystifying the Chinese Economy,* 2012.
L. Brandt and T. Rawski, *China's Great Economic Transformation*, 2008.

Naughton's text is a fantastic introduction to the historical origins of the Chinese economy – and is highly readable for a textbook. Lin and Brandt and Rawski offer additional material for those who wish to complement Naughton.

Supplementary Readings:

The Chinese economy is a dynamic topic, and you are expected to follow current events in China throughout the semester. To that end, each week you will be assigned to read the China section from *The Economist* or a similar outlet, and two students will present a guided discussion. Along with these short readings, I encourage you to keep up with any major newspaper - Section A will include a story related to the Chinese economy nearly every single day. This is a great opportunity to take advantage of Colby's access to the *New York Times* – copies are available throughout campus each morning (a good reason to get up early!).

Additional course material – readings, articles, lecture notes, handouts, etc. – will be posted on the course web site.

Course Outline *(tentative and subject to change)*

1. Background and Geographic Inequities (Sep 5)
Naughton, Chs. 1-2

Pre-Socialist Economy

2. Pre-Industrial Period (Sep 10)
Naughton, Ch. 3 Inro-3.2
Lin, 2011, "Why the Scientific and Industrial Revolution bypassed China"

3. 19th Century Imperialism and Moments in Economic History (Sep 12)

Key Historical Events Presentations

Optional readings

Riskin, 1987, "China's Pre-Socialist Economy"

Kissinger, 2012, "The Kowtow Question and the Opium War," and "From Preeminence to Decline"

Brandt, Ma, and Rawski, 2014, "From Divergence to Convergence: Reevaluating the History Behind China's Economic Boom"

Socialist Period

4. The CCP and Central Planning (Sep 17)

Map Quiz

Central Planning Simulation

Naughton, Ch. 4 Into-4.3.3

5. Agricultural Collectives and the Great Leap Forward (Sep 19)

Naughton, Ch. 4.3.4-4.4

Lin, 1990, "Collectivization and China's Agricultural Crisis in 1959-61"

6. Growth Under Mao (Sep 24)

Naughton, 1991, "The Pattern and Legacy of Economic Growth in the Mao Era"

7*. FILM: China: The Mao Years (Sep 26)

Finish on own outside of class (available via Kanopy)

The Reform Period

8. Theories of Reform and SOEs (Oct 1)

Paper #1 Due

Naughton Ch 5.1-5.3

Steinfeld, 1998, "The Living Museum of Iron and Steel Technology"

9. Special Economic Zones (Oct 3)

Naughton, Ch. 17

Wang, 2013, "The economic impact of Special Economic Zones: Evidence from Chinese municipalities"

10. Exam-prep and Wrap-up (Oct 8)

Naughton, Ch. 17

11. Exam #1 (in class Oct 10)

The Contemporary Economy at Home

12. Growth (Oct 15)

Naughton, Ch. 7
Fernald et al., 2019, "How Severe Is China's Slowdown? Evidence from China CAT"
Optional:
Fernald et al., 2013, "On the Reliability of Chinese Output Figures"
Chen et al., 2019, "A Forensic Examination of China's National Accounts"

13. Poverty and Inequality (Oct 17)

Naughton, Ch. 10
Knight, 2014, "Inequality in China: An Overview"
Optional:
Zhang and Kabur, 2005, "Spatial inequality in education and health care"
Wang and Woo, 2011, "Size and Distribution of Hidden Household Income"

14. Environment, Pollution, and Health (Oct 24)

Assignment on Environmental Issues
Naughton, Ch. 21

15. Rural-Urban Migration (Oct 29)

Naughton Ch. 6
Lewis Model handout

16. Demographic Pressures and an Aging Society (Oct 31)

"The Consequences of Demographic Change" in *China Beyond the Miracle*
Optional:
Naughton, Ch. 8

17. China's Changing Labor Force (Nov 5)

Wei et al., 2017, "From 'Made in China' to 'Innovated in China': Necessity, Prospect, and Challenges," *Journal of Economic Perspectives.*
Optional:
Rein, 2012, *End of Cheap China*
Naughton, Ch. 9

18. Intellectual Property (Nov 7)

Greeven, Yip, and Wei, 2019, "Understanding China's Next Wave of Innovation," *MIT Sloan Management Review.* Author interview (link)
Optional:
Naughton, Ch. 15

<u>China's Relationship with the Globe and the Globe's Relationship with China</u>

19-20. Trade and Monetary Policy (Nov 12, 14)

IMF, 2019, "Article IV: External Balance Assessment"

21. FDI into China and China's Outward Investments (Nov 19)

World Bank, 2018, *China: Systematic Country Diagnostic*, Chapter 5: Leveraging Global Trade and Investments

Selections from Moyo, 2012, *Winner Take All*

Optional:

French, 2014, *China's Second Continent*

22. Case Study – China's Sovereign Wealth Fund (Nov 21)

Pozen and Gu, 2011, "Two Key Decisions for China's Sovereign Fund"

23*. FILM: Last Train Home (2011) (Nov 26)

Class extends to 12:30pm

<u>A Look Toward the Future</u>

24. US-Chinese Relations from two Points of View (Dec 3)

Yu, 2019, "U.S.-China Relations: The Way Forward," keynote delivered at INSE Global Forum at Peking University.

Cambell and Sullivan, 2019, "Competition without Catastrophe," *Foreign Affairs*

25. Questions of Sustainability (Dec 5)

Optional:

Landy, 2012, *Sustaining China's Economic Growth After the Financial Crisis*

Paper #2 Due Dec 6th - last day of classes

Review Session (TBD) **Final Exam (Th December 12 1:30pm)**